PRIVILEGED AND CONFIDENTIAL — ATTORNEY-CLIENT COMMUNICATION — ATTORNEY WORK PRODUCT — PREPARED IN ANTICIPATION OF LOAN DOCUMENTATION

MEMORANDUM

TO:	**David Forsythe, Senior Vice President — Commercial Real Estate Lending, Pinnacle Savings Bank, N.A.; Senior Loan Committee (copy)**
FROM:	Katharine “Kate” Drummond, Partner; Marcus Webb, Associate — Ashford, Cromdale Consulting & Laine LLP
DATE:	February 3, 2025
RE:	The Piedmont at Brightleaf — Loan No. CRE-2025-0342 — $47,500,000 Construction-to-Mini-Permanent Loan — Transmittal of Draft No. 1 Loan Agreement and Schedule of Material Issues, Inconsistencies and Recommended Resolutions across the Source Document Record

1. Purpose, scope and limitations of this review

1.1 **Purpose.** You asked us to (a) prepare a first draft of the construction-to-mini-permanent loan agreement for the above transaction from the record described below, and (b) prepare this memorandum flagging material issues and inconsistencies across the source documents, with recommended resolutions. The draft agreement is delivered with this memorandum as *Construction-to-Mini-Permanent Loan Agreement — Draft No. 1*.

1.2 **Record reviewed.** We have read, in full, each of the seven documents listed in Section 2. Nothing else was in the workspace, and we have not reviewed any document outside that list. We have not obtained or reviewed: the Borrower’s financial statements or tax returns; the guarantors’ personal financial statements (only the summaries in the Credit Memorandum); the construction contract; the architect’s agreement; the ALTA/NSPS survey; the operating agreement (only the excerpts annexed to the Borrower’s organizational materials); the mezzanine loan documents; a draft intercreditor agreement; the NCDEQ No Further Action letter itself (only the summary and quotations in the Phase I ESA); the Phase II report; the recorded deed notice; or the appraisal review memorandum. Each of these gaps is a diligence item, and several bear directly on conclusions in this memorandum (see Section 8).

1.3 **Limitations.** This memorandum is a summary of documentary inconsistencies and proposed resolutions, prepared for the Lender’s internal use. It is not a legal opinion on the enforceability of the draft, on title, on environmental liability or on regulatory capital treatment. Where the record contains a factual conflict that the documents cannot resolve, we have identified the conflict and stated what is needed to resolve it rather than assuming an answer. Every figure in Section 5 has been recomputed independently from the underlying inputs; where our recomputation differs from a stated figure, we say so and show the arithmetic.

1.4 **Format convention.** “**Term Sheet**” means the executed term sheet dated January 10, 2025; “**Credit Memorandum**” or “**CM**” means the Senior Loan Committee credit memorandum dated January 22, 2025; “**Appraisal**” means the Ridgeline Appraisal Services Inc. executive summary dated November 15, 2024

(file RAS-2024-1147); "**Title Commitment**" means Aldersgate Title & Escrow Inc. Commitment No. NC-2024-88712 effective December 5, 2024; "**Phase I ESA**" means the Sentinel Environmental Consulting LLC excerpt dated October 28, 2024 (project SEC-2024-1147); "**Org Chart**" means the Borrower organizational chart and operating agreement excerpts delivered by Calloway & Strauss PLLC in January 2025; and "**Draw Schedule**" means the construction budget and draw schedule workbook prepared by the Borrower dated January 8, 2025. "**Draft**" means the accompanying Draft No. 1 Loan Agreement. Section references are to the document named.

2. Documents reviewed and what each establishes

Document	Date	Author / issuer	What it establishes for this review
Executed Term Sheet	Jan 10, 2025	Pinnacle Savings Bank, N.A. / Borrower	The agreed business terms: $47,500,000 facility, 30-month construction plus 12-month mini-perm plus one 6-month extension, SOFR-based pricing, fees, interest reserve, guaranty structure, collateral, draw mechanics, covenants, closing conditions, NFA and title conditions. Non-binding except Sections 22–23.
Senior Loan Committee Credit Memorandum	Jan 22, 2025	D. Forsythe, SVP (unsigned)	The Bank's credit analysis; approval recommendation; the equity escrow, intercreditor, SPE/non-consolidation and environmental conditions of approval; the underwriting metrics on which approval is premised.
Appraisal executive summary	Nov 15, 2024	Ridgeline Appraisal Services Inc. (L. Haverford, MAI)	As-is land value $8,900,000; as-completed value $72,800,000; as-stabilized value $76,200,000; stabilized NOI $4,876,800; the income, expense and comparable data used to size the loan.
Preliminary title commitment	Dec 5, 2024	Aldersgate Title & Escrow Inc. (P. Langley)	Vested fee title in Borrower; the two parcels and their legal descriptions; the requirements to be satisfied at closing; the Schedule B-II exceptions, including the unsatisfied Triangle Commercial Bank deed of trust, the two easements and the Brightleaf Historic District CC&Rs.
Phase I ESA (excerpted)	Oct 28, 2024	Sentinel Environmental Consulting LLC (J. Whitfield, P.E.)	The single REC; the Phase II results; the remediation; the four conditions of the NCDEQ NFA letter; the business environmental risk arising from the residential use restriction; and recommendations 1–7.
Borrower organizational chart and operating agreement excerpts	Jan 2025	Calloway & Strauss PLLC (J. Ngo)	The membership structure and percentages; the absence of SPE and independent-manager provisions; the 75% major-decision threshold; the capital-contribution and distribution provisions; the transfer restrictions; the land contribution narrative; and the affiliate relationship with the mezzanine lender.
Construction budget and draw schedule	Jan 8, 2025	Borrower (E. Vasquez-Torres)	The sources and uses; the line-item budget and its funding allocation across senior loan, mezzanine loan and borrower equity;

Document	Date	Author / issuer	What it establishes for this review
			the milestone draw schedule; the interest reserve projection and sensitivity table.

3. Executive summary and top-risk register

3.1 The transaction is financeable, but it cannot be documented and closed as the record currently stands. The executed Term Sheet is internally inconsistent on loan sizing (it states a maximum 80% loan-to-cost and a maximum 65% as-completed loan-to-value, and then sets a loan amount that breaches both), and the Borrower's capital structure contains no genuine cash equity: the sources and uses presented to the Bank funds 100% of a $56,700,000 budget — including the $8,200,000 land cost — with $56,700,000 of debt. Five further items are closing conditions in substance rather than form: an unsatisfied $3,400,000 prior deed of trust for which there is no payoff figure and no source of funds in the budget; an environmental use restriction that appears to be inconsistent with the residential program and a required deed notice that appears not to have been recorded; a mechanical defect in the draw schedule that prevents the stated 10% retainage from being withheld and released; an interest reserve that is underfunded on the Bank's own current-rate assumption; and a membership-interest pledge that is promised to two lenders at once.

3.2 The table below is the risk-prioritised register. "High" means we do not recommend closing, or permitting a first advance, without resolution; "Medium" means the item should be resolved in the documentation or by a closing deliverable; "Low" means correct the reference or the figure in the next draft.

#	Issue	Why it matters	Recommended resolution	Risk
1	Loan-to-cost of 83.77% against the Term Sheet's own 80% maximum; $2,140,000 over	The Loan as sized breaches a covenant the Bank itself imposed; the CM's cure (an equity escrow) does not change the arithmetic unless the amount advanced is capped	Cap aggregate advances at 80% of Total Project Costs (a borrowing-base mechanic) and require a verified $2,140,000 equity deposit applied to hard and soft costs; alternatively reduce the commitment to $45,360,000 (Draft §§2.1(b), 4.8, 8.1)	**High**
2	As-completed LTV of 65.25% against a 65% maximum in Term Sheet §§4 and 6.2	The CM tests this ratio against a 70% "policy" cap and reports "Pass"; on the Term Sheet's own ceiling the Loan is $180,000 too large	Confirm which cap governs; a reduction to $45,360,000 satisfies both (Draft §§8.1–8.2)	**High**
3	No cash equity; the $8,200,000 land cost is funded by the mezzanine loan; the land is described four different ways across the record	If the land is refinanced at closing there is no equity at risk, the no-distribution covenant is breached at closing, and the CM's 18.2% equity and 14.2% HVCRE calculations double-count the land	Trace the source of the land purchase funds; prohibit reimbursement of member capital from any source; restate sources and uses; recompute contributed capital (Draft §§2.2, 3.3, 4.16, 7.4)	**High**
13	$3,400,000 Triangle Commercial Bank deed of	A first-priority lien cannot be delivered	Payoff letter dated within 30 days, quantified at closing,	**High**

#	Issue	Why it matters	Recommended resolution	Risk
	trust unsatisfied; no payoff amount; no line item in the uses of funds	without a payoff, and the budget contains no funds to pay it	funded from Borrower equity (not loan proceeds); recorded cancellation; title exception deleted (Draft §§3.5(b), 9.1; Schedule 1.3)	
18–19	NCDEQ use restriction (non-residential) over 0.38 acres versus residential construction above it; the required deed notice appears unrecorded and is absent from Schedule B-II	Affects certificates of occupancy for part of the unit mix, DSCR and appraised value; an unrecorded deed notice is an NFA violation and an undisclosed title encumbrance	Floor-plan/delineation overlay; NCDEQ modification or redesign; recorded deed notice produced and excepted to in the Title Policy; no residential occupancy in the Affected Area without NCDEQ and Lender consent (Draft §§3.6, 5.8, 6.4, 10.11; Schedule 1.4)	**High**
23	Draw schedule neither withholds nor correctly releases the 10% retainage; its components total $48,500,000; developer fee and contingency are not funded	As written the Loan would advance $38,225,000 against $34,750,000 of hard costs, and the final advance cannot fund the retainage release	Replace with a reconciled, net-of-retainage schedule (Draft Schedule 1.2) and confirm the corrected amounts with the Borrower	**High**
22	Interest reserve of $4,850,000 is short by approximately $361,500 at the CM's own 4.35% SOFR assumption and by approximately $1,047,000 at +100 bps	Reserve exhaustion during construction shifts interest to the Borrower and then to the guarantors	Size the reserve at a stressed rate or add a mandatory replenishment covenant tested at each advance (Draft §§2.10, 4.2(g), 10.16)	**High**
6	100% membership-interest pledge promised to both the senior and the mezzanine lender	One of the two pledges cannot be first-priority; priority litigation risk in a default	Intercreditor giving the Bank first priority, Article 8 election and control, member consents (Draft §§9.6, 13.2; Schedule 1.5)	**High**
26	Borrower net worth covenant of $12,000,000 versus post-closing book equity of approximately $2,140,000	The covenant is breached on the first test date, converting a credit covenant into an inevitable default	Redefine the covenant (fair-value basis), reset the threshold, or substitute a sponsor-support covenant (Draft §8.4 and note)	**High**
8	75% supermajority in the operating agreement gives Brightleaf Investors Group LLC (28%) an effective veto over any refinancing over $1,000,000	The affiliate of the mezzanine lender can block the refinancing or sale the Bank needs to be repaid at maturity	Amend the operating agreement to carve out refinancing and repayment of the Loan; add independent-manager approval (Draft §§3.2, 13.4)	**High**
7	Mezzanine interest is payable in kind and accretes; combined leverage reaches approximately 82.5% of as-completed value at construction maturity	Undermines the equity cushion and the Bank's LTV discipline; the Term Sheet is silent on PIK	Confirm the PIK mechanic; cap capitalised interest; prohibit mezzanine payments while a senior default exists; test combined leverage (Draft §§7.10, 13.3)	Medium
10	Partial repayment guaranty described as $11,875,000 in the Term Sheet and as "$11,875,000 per guarantor" in the CM	A $23,750,000 exposure would exceed Mr. Osei's net worth twice over	Confirm the aggregate, non-additive $11,875,000 joint and several cap (Draft §9.7(c) and note)	Medium
14	Mechanics' lien relation-	Under N.C.G.S. §	Final unconditional lien	Medium

#	Issue	Why it matters	Recommended resolution	Risk
	back exposure for August 2024 demolition and September 2024 remediation work	44A-10 a lien for that work could prime a 2025 deed of trust	waivers, owner's and contractor's affidavits; title date-down (Draft §§3.13, 4.9; Title Commitment Note 4)	
25	Hard-cost contingency is $1,140,000 (3.28%), not the $1,440,000 (4.14%) stated in the CM	Overstates the cushion available for change orders in a 30-month, wood-frame-over-podium project	Confirm the split and consider requiring a minimum 5% hard-cost contingency or a completion-guaranty funding obligation (Draft Schedule 1.1; §4.4 Completion Guaranty)	Medium
24	Construction maturity (August 28, 2027) precedes projected substantial completion (August 31, 2027); the final advance is scheduled for October 2027	A three-day miss becomes a maturity default, and the last advance falls after maturity	Define periods from the actual closing date with an outside date, and confirm post-maturity advances are permitted in the mini-perm period (Draft §§2.13, 4.4, 6.1; Schedule 1.2 note 2)	Medium
16	ARC approval assumed by the Appraisal but not evidenced; title officer flags the absence; the $0.12/sf CC&R assessment (approximately $34,500 per annum) is omitted from the appraisal's expenses	A CC&R injunction right could stop construction; unrecorded operating expenses overstate NOI and value	ARC approval or deemed approval as a closing condition; add the assessment to operating expenses (Draft §§3.5(f), 6.6, 8.3; Schedule 6.8)	Medium
29	Credit Memorandum is unsigned and the appraisal review memorandum it references is not in the record	Approval and FIRREA appraisal review are not evidenced	Obtain executed approval and the appraisal review memorandum before closing (Draft §3.4(a))	Medium
30	Appraisal income: 212 × $2,245 × 12 = $5,711,280, not $5,712,000; the $2,245 figure is an effective (post-concession) rent, not the weighted average of the projected rents ($2,331.84)	A rounding error is immaterial, but conflating face and effective rent overstates the achievable rent roll and weakens the lease-up sensitivity analysis	Correct the presentation; show face rent, concessions and effective rent separately (Section 5 of this memorandum)	Low

3.3 Every issue rated **High** in the register above is, in substance, a condition of closing. We have drafted the Loan Agreement so that each is either resolved in the document (where the resolution is within the Lender's control) or made an express condition precedent or covenant (where it requires action by the Borrower or a third party). Section 7 maps each issue to the drafting mechanism and lists the bracket items requiring a business decision from the Bank before execution.

4. Transaction snapshot as verified against the record

4.1 The following terms are consistent across the Term Sheet, the CM and the Draw Schedule, and are carried forward into the Draft. Where the record is inconsistent, the term is bracketed or footnoted in the Draft and cross-referenced to the issue number in this memorandum.

Term	Verified term (and source)
Lender / Borrower / Guarantors	Pinnacle Savings Bank, N.A. / Harborview Capital Partners LLC (NC SOS 1923847, formed March 14, 2019) / Elena Vasquez-Torres and Reginald K. Osei (Term Sheet §§1.1–1.3; Org Chart §1.1)
Facility and amount	$47,500,000 construction-to-mini-permanent loan; multiple advances (Term Sheet §§3.1, 9) — see Issue 25 on the "single advance" language
Property	Two contiguous parcels, 3.47 acres: PIN 0821-04-72-3341 (601 Foster Street, 2.09 acres) and PIN 0821-04-72-4102 (615 Foster Street, 1.38 acres) (Title Commitment, Sch. A ¶6)
Project	Six storeys (five residential over a podium), 212 units (142 one-bedroom, 56 two-bedroom, 14 three-bedroom), 18,400 sf retail in seven bays, 276 structured spaces, 287,500 sf gross building area (Term Sheet §2; Appraisal §3)
Pricing	Daily Simple SOFR + 3.25% (construction) / + 3.50% (mini-perm); 1.00% SOFR floor; default rate = contract rate + 5.00%; actual/360; monthly in arrears (Term Sheet §3.3)
Maturity	Construction: 30 months from closing (target February 28, 2025; August 28, 2027); mini-perm: 12 months (August 28, 2028); one 6-month extension (February 28, 2029) (Term Sheet §3.2)
Fees	Origination 1.00% ($475,000); exit fee 0.50% during construction, 0.25% during the first six months of the mini-perm, nil thereafter; unused line fee 0.25% per annum on the undrawn commitment (Term Sheet §3.4)
Interest reserve	$4,850,000 funded from the initial advance into a segregated sub-account, applied solely to construction-period interest (Term Sheet §10)
Retainage	10% of hard construction costs, released only on the Draw 9 conditions (Term Sheet §9.1) — defective as scheduled (Issue 6)
Guaranties	Completion, carry and 25% partial repayment ($11,875,000), joint and several, with "bad boy" full-recourse springing events; unlimited environmental indemnity (Term Sheet §§7.1–7.4)
Collateral	First deed of trust, assignment of rents, security interest in personal property, assignments of the construction and architect contracts, assignment of insurance and condemnation proceeds, 100% membership-interest pledge (Term Sheet §8)
Financial covenants	LTC ≤ 80%; LTV ≤ 65% as-completed and as-stabilized; DSCR ≥ 1.25x; Borrower net worth ≥ $12,000,000; combined guarantor liquidity ≥ $5,000,000 (Term Sheet §§6.1–6.5)
Environmental framework	One REC in the 0.38-acre northeast corner of PIN …4102; conditional NFA letter dated September 30, 2024 with four conditions (Phase I ESA §§7, 9)
Title conditions	Four permitted exceptions plus deletion of standard exceptions on survey; the Triangle Commercial Bank deed of trust and all other Schedule B-II items to be released (Term Sheet §18; Title Commitment Sch. B-I Req. 4, Sch. B-II)

5. Independent verification of the numbers

5.1 We recomputed every material figure rather than relying on the totals in the record. Most of the record's arithmetic is correct; the exceptions are set out below.

Item	Stated in the record	Independent recomputation	Result
Total project costs	$56,700,000 (Term Sheet §5.2; CM §5.2)	$8,200,000 + $34,750,000 + $4,150,000 + $4,850,000 + $475,000 + $2,835,000 + $1,440,000 = $56,700,000	Agrees
Total sources	$56,700,000 (Term Sheet §5.1)	$47,500,000 + $9,200,000 + $0 = $56,700,000	Agrees arithmetically, but the only equity line is $0 while the land appears as a $8,200,000 use — see Issue 3
Senior loan funding of the budget	$47,500,000 (Draw Schedule, Detailed Budget)	$34,750,000 + $4,150,000 + $4,850,000 + $475,000 + $1,835,000 + $1,440,000 = $47,500,000	Agrees
Mezzanine funding	$9,200,000	Land $8,200,000 + developer fee $1,000,000 = $9,200,000	Agrees — and confirms the land is debt-funded
Loan-to-cost	83.77% (CM §5.3)	$47,500,000 ÷ $56,700,000 = 83.7743%	Agrees; exceeds 80.00% by 3.77 points ($2,140,000)
Maximum loan at 80% LTC	$45,360,000 (CM §5.3)	$56,700,000 × 80% = $45,360,000	Agrees
As-completed LTV	65.25% (Term Sheet §4; CM §6.1)	$47,500,000 ÷ $72,800,000 = 65.2473%	Agrees; exceeds the Term Sheet’s 65% cap by $180,000
As-stabilized LTV	62.34%	$47,500,000 ÷ $76,200,000 = 62.3360%	Agrees
Stabilized NOI	$4,876,800	Residential $5,711,280 + retail $552,000 + other $198,000 = $6,461,280; less 5% vacancy $323,064 = $6,138,216; less expenses $1,262,100 = **$4,876,116**	Differs by $684 because $5,712,000 is not 212 × $2,245 × 12 (which is $5,711,280)
DSCR (interest-only at 7.85%)	1.31x	$47,500,000 × 7.85% = $3,728,750; $4,876,800 ÷ $3,728,750 = 1.3077x	Agrees
DSCR (stress, +200 bps)	1.04x	$47,500,000 × 9.85% = $4,678,750; $4,876,800 ÷ $4,678,750 = 1.0422x	Agrees
DSCR if 14 units are lost	1.21x (CM §9.5)	Revenue lost $377,160, less the 5% vacancy credit ($18,858) = NOI $4,518,498 ÷ $3,728,750 = 1.2118x	Agrees in substance; the CM omits the vacancy credit
DSCR after the CC&R assessment	Not computed in the record	NOI $4,876,800 − $34,500 = $4,842,300 ÷ $3,728,750 = 1.2986x	Still passes, but the $34,500 is a real recurring cost
10% retainage	$3,275,000 (Term Sheet §9.2; CM §7.1)	10% × $34,750,000 = **$3,475,000**; $3,275,000 is 9.4245%	The schedule understates retainage by $200,000 — Issue 6
Draw schedule component total	$47,500,000	$34,750,000 (net hard) + $4,150,000 + $4,850,000 + $475,000 + $2,835,000 + $1,440,000 = **$48,500,000**	Over-allocated by $1,000,000, equal to the mezzanine-funded developer fee
Draw 9 components	$3,275,000	$3,475,000 retainage + $200,000 developer fee + $600,000 contingency = **$4,275,000**	Components exceed the stated amount by $1,000,000
Developer fee	5.00% of total project cost = $2,835,000	$2,835,000 ÷ $56,700,000 = 5.00% (including the fee itself); 5% of $47,100,000 (hard, soft, land) =	Internally consistent but computed on a base that includes the

Item	Stated in the record	Independent recomputation	Result
		$2,355,000	fee, the interest reserve and the contingency
Hard-cost contingency	4.14% (CM §5.2)	$1,140,000 ÷ $34,750,000 = 3.2806%; the $1,440,000 figure includes $300,000 of soft-cost contingency	Overstated in the CM
Interest reserve adequacy	"$221,325 surplus" at 3.50% SOFR; "shortfall of approximately $565,000" at 4.35% (CM §6.2)	Monthly model on the schedule's own draw pattern: average outstanding $27,429,167. At 6.75% all-in: $4,628,672 (agrees). At 7.60% all-in: **$5,211,542** → shortfall **$361,542**. At 8.60% all-in: $5,897,271 → shortfall $1,047,271	The CM's $565,000 uses a $28,500,000 average balance and overstates the shortfall by about $203,000; the direction of its conclusion is correct and the Draw Schedule's "appears adequate" is correct only at 3.50% SOFR
HVCRE contributed capital	14.2% (CM §12)	$2,140,000 + $8,200,000 = $10,340,000 ÷ $72,800,000 = 14.2033%. If the land is counted at as-is appraised value: $11,040,000 ÷ $72,800,000 = 15.1648%. If the land is reimbursed by the mezzanine loan: $2,140,000 ÷ $72,800,000 = **2.9396%**	15% threshold = $10,920,000. Classification as HVCRE appears unavoidable on any reading that recognises the land reimbursement
Combined leverage at construction maturity (PIK mezzanine)	Not computed in the record	$9,200,000 × (1 + 12.5%/12)^30 = $12,554,600; combined debt $60,054,600 ÷ $72,800,000 = **82.4926%**	Exceeds 80% combined leverage at completion — Issue 11
Post-closing book equity	$14,200,000 Borrower net worth (Term Sheet §6.4; CM §2.1)	Assets $8,200,000 land + $48,500,000 construction in progress = $56,700,000; liabilities $47,500,000 + $9,200,000 = $56,700,000; equity **$0**, or $2,140,000 after the equity deposit	The stated $14,200,000 is unsupported by any balance sheet in the record — Issue 9
LTC if the reserve and fee are excluded from the base	Not computed in the record	($56,700,000 − $4,850,000 − $475,000) = $51,375,000 × 80% = $41,100,000	A $6,400,000 equity requirement on that definition — Issue 1
Parcel areas	3.47 acres (all documents)	Legal descriptions: 298.62 ft × 305.41 ft = 91,201.5 sf (2.0937 ac); 201.88 ft × 297.63 ft = 60,085.5 sf (1.3794 ac); total 151,287 sf = 3.4731 ac	Title agrees; the Phase I ESA's per-parcel split (1.89 / 1.58 acres) does not — Issue 15
Parking ratio	1.30 spaces per unit	276 ÷ 212 = 1.3019	Agrees
2024 real property taxes	"Paid in full" (Title Commitment Sch. B-I Req. 6)	$29,847.12 (PIN …3341) + $19,218.44 (PIN …4102) = $49,065.56	Agrees; no construction-period tax line exists in the budget

5.2 **Net effect.** On the record as delivered, the Loan is $2,140,000 larger than the Term Sheet's own loan-to-cost covenant permits and $180,000 larger than its as-completed loan-to-value covenant permits; there is no equity in the structure that is not either (a) debt-funded or (b) to be replaced by the equity deposit; the interest reserve is short by between approximately $361,500 and $1,047,000 over the 30-month construction period depending on SOFR; and the draw schedule as

written would advance $3,475,000 more to hard costs than the guaranteed maximum price authorises.

6. Detailed issues and recommended resolutions

A. Loan sizing and the capital structure

ISSUE 1 — The Loan breaches the Term Sheet's loan-to-cost covenant (High).

Source. Term Sheet §§3.1 (loan amount $47,500,000) and 6.1 (LTC not to exceed 80% of Total Project Costs, stated to be $56,700,000); CM §§5.1, 5.3 and 6.1 (identifies an 83.77% LTC and a $2,140,000 shortfall).

Analysis. $47,500,000 ÷ $56,700,000 = 83.7743%. The Bank executed a term sheet containing a covenant that its own loan amount breaches. The difficulty is not the identification of the problem (the CM identifies it) but the proposed cure: the Bank's condition is a $2,140,000 cash deposit into a Bank-controlled equity escrow "applied to project costs first, ahead of loan advances, to bring the effective LTC into compliance" (CM §§5.3, 10.1.2). Depositing cash does not change either the numerator or the denominator of the ratio. The cure works only if the amount advanced under the senior loan is correspondingly reduced, either by permanently reducing the commitment to $45,360,000 or by making 80% of Total Project Costs a borrowing-base limitation on outstanding principal. We recommend the latter, because it preserves the commitment if approved change orders increase Total Project Costs (in which case the equity requirement falls pro rata), and it also converts the covenant in Term Sheet §6.1 into an operable condition to each advance rather than an annual certification.

A second point on the definition: Term Sheet §6.1 defines Total Project Costs as the aggregate of all costs in the budget, which includes the $4,850,000 interest reserve and the $475,000 origination fee. Treating financing costs as "project costs" for LTC purposes is generous. If they are excluded, the base is $51,375,000, the 80% amount is $41,100,000, and the equity requirement rises from $2,140,000 to $6,400,000. The Bank should confirm its policy treatment before the Draft is finalised; the definition is outcome-determinative and is flagged at Draft §8.1.

Recommendation. (a) Confirm the LTC base (whether the interest reserve and financing fees are included). (b) Adopt the borrowing-base mechanic at Draft §2.1(b) so that outstanding principal may never exceed 80% of Total Project Costs. (c) Require the $2,140,000 Equity Deposit at Draft §4.8, allocated to hard and soft costs only. (d) Alternatively, reduce the commitment to $45,360,000 and conform the Note, deed of trust, title policy amount, origination fee (1.00% × $45,360,000 = $453,600), exit fee and draw schedule.

ISSUE 2 — As-completed loan-to-value breaches the Term Sheet's 65% ceiling (High).

Source. Term Sheet §4 ("The Lender's maximum loan-to-value ratio shall not exceed 65% on an as-completed basis") and §6.2 (65% as-completed and as-

stabilized); CM §6.1 (ratio table applying "Bank Policy: Max 70%" and marking both LTV ratios "Pass").

Analysis. $47,500,000 ÷ $72,800,000 = 65.2473%. The Term Sheet's ceiling is 65.00%; the excess is 0.2473 points, or $180,000 (65% of $72,800,000 = $47,320,000). The CM does not test this ratio against the Term Sheet: its ratio table applies a 70% policy maximum and reports a pass. Two possibilities exist and the record does not resolve them: either the Bank's 70% construction policy governs and Term Sheet §§4 and 6.2 contain a drafting error, or the 65% ceiling governs and the Loan amount is wrong. The difference matters because it is an executed term sheet the Borrower can hold the Bank to, and because the appraised value on which both ratios depend is itself subject to the environmental qualification discussed at Issue 5.

Recommendation. Obtain a written credit decision on the governing ceiling. If 65% governs, the $45,360,000 size required by Issue 1 also satisfies this covenant ($45,360,000 ÷ $72,800,000 = 62.31%), and the Term Sheet's 70% references in the CM should be corrected before the file goes to any external reviewer. Draft §§8.1–8.2 are drafted to the Term Sheet's 65% figure and expressly note the conflict.

ISSUE 3 — No genuine equity: the land cost is funded by the mezzanine loan, and the land is described four different ways (High).

Source. Term Sheet §5.1 (sources of funds show Borrower equity of "$0" and describe the land as "previously acquired; see Uses below"); Term Sheet §5.2 (land acquisition of $8,200,000 shown as a use); Draw Schedule, Detailed Budget line 1.01 (land funded $8,200,000 by the mezzanine loan; footnote: "Previously closed; funded by mezzanine loan proceeds and member capital calls"); Org Chart §1.3 (the land "was contributed to Harborview Capital Partners LLC by Elena Vasquez-Torres at a cost basis of $8,200,000", "originally acquired by Ms. Vasquez-Torres in a transaction funded from her personal resources and was subsequently contributed to the Borrower upon formation"); Org Chart §2.3 (operating agreement §5.1(a) records the same contribution); CM §2.2 ("acquired by Ms. Vasquez-Torres on behalf of the Borrower through capital calls from all three members, including Brightleaf Investors Group LLC"); Title Commitment, Sch. A ¶5 (title vested by Special Warranty Deed recorded in Book 7598, Page 443, dated June 12, 2023, from Foster Street Properties LLC to Harborview Capital Partners LLC — i.e., a purchase by the Borrower from a third party, with Parcel 2 at Book 7598, Page 445); Appraisal §6.1 ("the land acquisition cost of $8,200,000, which was the price paid by Harborview Capital Partners LLC in early 2024"); Phase I ESA §2.2 ("Harborview Capital Partners LLC acquired the Subject Property in 2022").

Analysis. Four of the documents describe a purchase by the Borrower (in 2022, in June 2023, or in early 2024); two describe a contribution by Ms. Vasquez-Torres to the Borrower "upon formation" (the Borrower was formed on March 14, 2019, so a 2023 purchase cannot be a contribution on formation). Record title is the reliable evidence, and it shows a purchase by the Borrower from Foster Street Properties LLC in June 2023. The operating agreement's capital-account recital therefore

appears to be inaccurate, which matters for the 62/28/10 allocation, the distribution waterfall in operating agreement §6.1, and the truth of the representation at Draft §5.16.

More significantly, the sources and uses presented to the Bank funds every dollar of a $56,700,000 budget — *including* the $8,200,000 land cost, which was paid in 2023 — with debt: $47,500,000 senior plus $9,200,000 mezzanine. Because the land is already owned, the mezzanine proceeds allocated to line 1.01 can only be a reimbursement of whoever funded the land. If that reimbursement occurs at closing: (a) the Borrower's equity at risk is limited to the $2,140,000 Equity Deposit, i.e. approximately 3.8% of cost and 2.9% of as-completed value; (b) the payment is a return of capital to a member, which breaches Term Sheet §14 (no distributions during the construction period except the developer fee); (c) the CM's statement that total equity "would consist of $2,140,000 in cash plus $8,200,000 in land … approximately 18.2%" (CM §5.3) double-counts the land, because the land has been converted back into cash; and (d) the HVCRE contributed-capital calculation at CM §12 (14.2%) is overstated on the same basis — the correct figure on a cash-out structure is 2.94%, and even counting land at as-is appraised value ($8,900,000) the 15.16% result depends on the land *not* being reimbursed. HVCRE classification therefore appears unavoidable, and the 150% risk weighting the CM already accepts will apply.

Recommendation. (a) Require source-of-funds tracing for the original land purchase (closing statement, bank records, member capital account ledger). (b) Require the Borrower to deliver a reconciled, certified sources and uses statement and a closing flow of funds that shows no payment to any member other than approved project costs (Draft §3.3(b)). (c) Retain the express prohibition on reimbursing member capital from any source at Draft §§2.2, 4.16 and 7.4. (d) If the commercial intention is to cash out the land, the Bank should grant that relief knowingly, in writing, and re-underwrite the credit without the land credit — which would fail the HVCRE and equity tests as currently sized. (e) Correct the CM's 18.2% and 14.2% figures before committee re-approval.

ISSUE 4 — The equity escrow, if applied to the developer fee, is circular (High).

Source. CM §§5.3 and 10.1.2 (condition of a $2,140,000 equity escrow "applied to project costs first"); Draw Schedule, Detailed Budget line 5.01 (developer fee $2,835,000, of which $1,835,000 senior and $1,000,000 mezzanine); Term Sheet §14 (distributions limited to the developer fee).

Analysis. Once the senior loan is capped at $45,360,000 (Issue 1), the senior-funded line items — hard costs $34,750,000, soft costs $4,150,000, interest reserve $4,850,000, origination fee $475,000 — total $44,225,000, leaving $1,135,000 for the developer fee ($1,835,000 senior share) and the contingency ($1,440,000). Approximately $2,140,000 of developer fee and contingency is therefore unfunded by the senior loan and must come from the equity deposit or be deferred. If the equity deposit is used to pay the developer fee, the sponsor contributes $2,140,000 of its own cash and receives it back as its fee at

completion: the equity is not at risk, and the contributed-capital analysis fails again.

The Draft resolves this by allocating the Equity Deposit solely to hard and soft costs (Draft §4.8(b)) and prohibiting its application to the developer fee, and by providing that the developer fee is payable only from the commitment and not before 90% completion (Draft §4.7(e)). That allocation works arithmetically: equity of $2,140,000 applied to hard and soft costs leaves $45,360,000 for the senior loan, which then funds hard and soft costs of $36,760,000, the interest reserve, the origination fee and the full $3,275,000 of developer fee plus contingency.

Recommendation. Confirm the equity allocation and the deferral of the developer fee, or increase the equity deposit to $3,975,000 if the sponsor is to be paid its fee currently. Confirm who is paid the fee: the Draw Schedule names “Harborview Capital Partners LLC” — the Borrower itself — as the payee, which means the fee does not leave the Borrower’s balance sheet; a subsequent distribution to the members would breach Term Sheet §14.

ISSUE 5 — The developer fee base and funding (Medium).

Source. Term Sheet §5.2 and Appraisal §3 (developer fee 5.0% “of total project cost” = $2,835,000); Draw Schedule line 5.01.

Analysis. $2,835,000 ÷ $56,700,000 = 5.00%, but the base includes the fee itself, the $4,850,000 interest reserve and the $1,440,000 contingency. Computed on land, hard and soft costs ($47,100,000) the fee would be $2,355,000 — $480,000 less. The fee is also funded 100% from debt ($1,835,000 senior, $1,000,000 mezzanine). Market practice for construction loans is to compute the fee on a defined cost base excluding financing costs and contingency and to limit the portion funded from loan proceeds.

Recommendation. Decide whether to accept the budgeted fee (it is 5.00% of the all-in budget and is within typical ranges) and, if so, document the base and the payment conditions in the Loan Agreement. The Draft at §4.7(e) and §7.4 conditions payment on Lender approval and Substantial Completion progress.

B. Mezzanine debt, intercreditor and sponsor control

ISSUE 6 — The 100% membership-interest pledge is promised twice (High).

Source. Term Sheet §8 (senior collateral includes a pledge of 100% of membership interests by all members); Term Sheet §1.4 and CM §4.4 (the mezzanine loan is “secured by a pledge of 100% of the membership interests in the Borrower”); CM §9.4 (identifies the conflict); Org Chart §2.5 (operating agreement §9.1 permits a pledge with the Managing Member’s approval and does not address competing pledges).

Analysis. Only one lender can hold a first-priority security interest in the same collateral, and the operating agreement contains no mechanism to rank two pledges of the same interests. The CM’s recommended resolution — an intercreditor agreement giving the Bank first priority and the mezzanine lender a

subordinated second — is correct. Two mechanical points are missing from the record and are addressed in the Draft: (a) the interests are uncertificated and the operating agreement does not elect Article 8, so a pledgee cannot obtain "control" and foreclosure on the interests would be a UCC Article 9 sale with notice and valuation risk; the Draft requires certificated interests, an Article 8 election, delivery of the certificates and undated transfer instruments (Draft §9.6(b)); and (b) the pledge to the mezzanine lender already exists, so its subordination — not merely its granting — must be documented, and Brightleaf Investors Group LLC (through Mr. Chen, who controls both entities) must consent.

Recommendation. Make the intercreditor agreement, with the terms listed at Draft §13.2, a non-waivable condition to the first advance; require the operating agreement amendment and member consents at Draft §§3.2 and 9.6(e).

ISSUE 7 — Pay-in-kind mezzanine interest is not analysed (Medium).

Source. CM §4.4 (mezzanine "interest accrues and is paid-in-kind during construction; cash pay during mini-perm"); Term Sheet §1.4 (silent on payment mechanics); Org Chart §1.2.

Analysis. At 12.50% payable in kind for 30 months, $9,200,000 accretes to approximately $12,554,600. Combined debt at construction maturity would be $60,054,600 against an as-completed value of $72,800,000 — combined leverage of 82.49%, above the 80% level the Bank uses for the senior loan alone, and increasing to approximately $13,300,000 of mezzanine by the mini-perm maturity. The CM does not test combined leverage and the Term Sheet does not regulate mezzanine payments.

Recommendation. Confirm the payment mechanic in writing; cap capitalised interest; prohibit any mezzanine payment while a senior default exists or after acceleration; test combined LTV at each advance; and permit the mezzanine lender to cure a senior default only from new money. Draft §§7.10 and 13.3 do so.

ISSUE 8 — The 75% supermajority gives the mezzanine lender's affiliate a veto over the Bank's exit (High).

Source. Org Chart §2.2 (operating agreement §3.2: sale of substantially all assets, any financing over $1,000,000, admission of a member, amendment and voluntary bankruptcy all require 75% approval); Org Chart §2.2 (analysis showing Ms. Vasquez-Torres 62% + Mr. Osei 10% = 72%, below the threshold, so Brightleaf Investors Group LLC (28%) holds an effective veto).

Analysis. The affiliate of the mezzanine lender can therefore block any refinancing over $1,000,000 and any sale of the Property — precisely the events the Bank relies on for repayment at the mini-perm maturity. This is a more serious structural issue than the pledge conflict because it does not depend on any default; it operates in the ordinary course. It also complicates the independent-manager mechanism: an independent manager protects against a bad-faith bankruptcy filing but does not cure a member-level veto over refinancing.

Recommendation. Amend the operating agreement before closing to (a) carve out the refinancing and repayment of the senior loan from the 75% list (Draft §13.4),

(b) require independent-manager approval for insolvency filings (Draft §6.9(l)), and (c) add the Bank's written consent right over any further amendment to the major-decision provisions (Draft §7.5(a)).

ISSUE 9 — Two members hold their interests without cash contribution, and there are no SPE covenants (High in combination).

Source. Org Chart §2.3 (operating agreement §5.1(b): Brightleaf Investors Group LLC receives 28% for a $0 contribution "in consideration of its commitment to arrange third-party mezzanine financing"; §5.1(c): Mr. Osei receives 10% for $0 "in consideration of development management services"); Org Chart §1.1 (the operating agreement "does not currently include provisions for an independent director or independent manager, nor does it contain separateness covenants"); Term Sheet §20 (SPE covenants); CM §§2.1, 9.3, 10.1.4 (SPE amendment, independent manager and non-consolidation opinion required).

Analysis. The record establishes what the CM describes: the Borrower has no separateness covenants, no independent manager, and two of three members hold equity issued for services and a financing commitment rather than capital. The structural consequence is that the entity protections the Bank's approval assumes do not exist today, and that the affiliation runs in three directions at once (member, mezzanine lender and fee recipient). The representation the Draft requires at §5.13 (that the Borrower has always maintained its separate existence and has not commingled funds) cannot be given truthfully on the current record without the operating agreement amendment and confirmation of past practice; we have flagged that in the Draft.

Recommendation. Make the operating agreement amendment, the independent manager, the member resolutions and the non-consolidation opinion closing conditions (Draft §§3.2, 3.10, 6.9), and take a certificate as to historical separateness practice so the Bank knows whether it is receiving a true representation or a qualified one.

C. Guaranties

ISSUE 10 — Is the partial repayment guaranty $11,875,000 or $23,750,000? (Medium).

Source. Term Sheet §7.3 ("a partial repayment guaranty in the amount of 25% of the Loan Amount (25% × $47,500,000 = $11,875,000) … joint and several, meaning that each Guarantor shall be individually liable for the full guaranteed amount"); CM §2.3.1 and §4.3 ("a 25% partial repayment guaranty — 25% of the loan amount of $47,500,000 = $11,875,000 **per guarantor**").

Analysis. The Term Sheet describes one aggregate amount of $11,875,000 for which each guarantor is jointly and severally liable (i.e. non-additive). The CM's "per guarantor" phrasing, read literally, doubles the exposure to $23,750,000 — which would be approximately 207% of Mr. Osei's $11,500,000 net worth. The CM's own analysis of guarantor capacity (39.8% and 103.3% of net worth) computes on the single $11,875,000 figure, which suggests the aggregate reading is intended and the "per guarantor" language is loose drafting.

Recommendation. Confirm the aggregate, non-additive $11,875,000 cap. Draft §9.7(c) states it expressly and notes the conflict.

ISSUE 11 — The Term Sheet's Events of Default refer to a guarantor net worth threshold that does not exist (Low, but it is an unenforceable provision as drafted).

Source. Term Sheet §15 ("Any Guarantor's net worth falls below the minimum threshold set forth in Section 6.4"); Term Sheet §6.4 (Borrower net worth of $12,000,000); Term Sheet §6.5 (combined guarantor liquidity of $5,000,000 — the only guarantor financial covenant).

Analysis. Section 6.4 is the Borrower's covenant. There is no guarantor net worth covenant anywhere in the Term Sheet, so the Event of Default has no referent. The Draft supplies a guarantor net worth covenant at §8.6 with bracketed thresholds. The Bank should confirm the levels; we suggest a floor of 75% of the net worth shown on the personal financial statements delivered at closing, together with a combined floor of $30,000,000 (the current combined net worth being $41,300,000).

Recommendation. Adopt thresholds at Draft §8.6 and correct Term Sheet §15 in the closing checklist.

ISSUE 12 — Guarantor capacity is concentrated in illiquid real estate (Medium, monitoring).

Source. CM §§2.3.1–2.3.3 ($29,800,000 and $11,500,000 net worth; $6,100,000 and $3,200,000 liquid; real estate at approximately 65% and 59% of net worth; Mr. Osei's guarantee at 103.3% of net worth).

Analysis. The combined liquidity of $9,300,000 is 1.86x the $5,000,000 covenant, but the guaranty exposure of $11,875,000 exceeds Mr. Osei's liquid assets by $8,675,000 and his entire net worth by 3.3%. Performance in a default scenario depends on realising illiquid real estate, which is correlated with the collateral risk the guaranty is meant to mitigate. The personal financial statements supporting these figures are not in the record (Section 8).

Recommendation. Obtain and review both personal financial statements and the underlying support for the real estate values; consider a liquidity covenant step-up during the lease-up period and a net-worth covenant as at Issue 11.

D. Title, survey and collateral

ISSUE 13 — The $3,400,000 Triangle Commercial Bank deed of trust is unsatisfied, unquantified and unfunded (High).

Source. Title Commitment, Sch. B-II Ex. 10 and Sch. B-I Req. 4 (deed of trust recorded in Book 6215, Page 892, Durham County Registry, dated September 14, 2018, from Foster Street Properties LLC, original principal $3,400,000; no cancellation recorded; Borrower's counsel's letter of November 22, 2024 states that the debt has been "partially repaid" and will be satisfied at or before closing; the Company has not verified the balance); Term Sheet §18 (all prior deeds of trust

to be released at or before closing); Appraisal §9, extraordinary assumption 4 (assumes payoff); CM §9.7 (Borrower's counsel represents payoff "from the proceeds of the senior construction loan or from borrower funds").

Analysis. Three problems compound. First, the payoff amount is unknown: it could be anywhere from zero to $3,400,000 plus accrued interest and any prepayment cost, because the record contains only the original principal and an unverified statement that the loan was "partially repaid". Second, there is no source of funds: the uses of funds at $56,700,000 are fully allocated, and the CM's suggestion that the payoff may come "from the proceeds of the senior construction loan" would be a use of loan proceeds that is neither an approved budget line nor an eligible cost — a diversion that would also worsen the LTC position. Third, the deed of trust was granted by a predecessor in title (Foster Street Properties LLC); if the Borrower did not assume the debt, the Bank needs the cancellation, and if it did, the Bank needs the assumption documents to understand the obligation.

Recommendation. Require (a) a payoff letter dated within 30 days of closing stating principal, accrued interest, per diem and any prepayment premium; (b) funding of the payoff from Borrower equity in addition to the $2,140,000 Equity Deposit (i.e. the equity requirement increases by the payoff amount), or a corresponding reduction in uses; (c) a recorded cancellation or satisfaction under N.C.G.S. § 45-37 or a title indemnity in the form the Title Company will accept; and (d) deletion of the exception from the Title Policy. Draft §§3.5(b) and 9.1 and Schedule 1.3 give effect to this.

ISSUE 14 — Mechanics' lien relation-back for the 2024 demolition and remediation work (Medium).

Source. Title Commitment, Note 4 (N.C.G.S. § 44A-10; the Company recommends an affidavit that no labour or materials were furnished before recording and lien waivers if work has commenced); Phase I ESA §§2.2, 6 (demolition in August 2024; remediation completed September 2024 at a cost of approximately $485,000); Appraisal §6.1 (demolition and remediation cost approximately $680,000).

Analysis. Because a North Carolina claim of lien relates back to the first furnishing of labour or materials, any unpaid demolition or remediation subcontractor could assert a lien that primes the Bank's 2025 deed of trust. The 120-day filing window from last furnishing (N.C.G.S. § 44A-23) will have run before a February 28, 2025 closing, which limits the risk of a new filing but does not eliminate a lien already filed or an unpaid claim that could support one. The record contains no evidence of payment or waiver for this work.

Recommendation. Obtain final unconditional lien waivers and releases from the demolition contractor, the remediation contractor, the soil-hauling and disposal subcontractors and the pre-demolition survey consultant; an owner's affidavit and a contractor's affidavit; and a bring-down title search at closing. Draft §3.13 requires them.

ISSUE 15 — The environmental and title descriptions of the two parcels cannot both be right (Medium).

Source. Title Commitment, Sch. A ¶6 (Parcel 0821-04-72-3341: 2.09 acres; Parcel 0821-04-72-4102: 1.38 acres; total 3.47 acres) and the metes and bounds (Parcel 1: 298.62 ft × 305.41 ft = 91,201.5 sf = 2.0937 acres; Parcel 2: 201.88 ft × 297.63 ft = 60,085.5 sf = 1.3794 acres); Phase I ESA §1 and §2.1 (Parcel …3341 approximately 1.89 acres; Parcel …4102 approximately 1.58 acres); Phase I ESA §2.1 ("The site fronts Foster Street to the north"); Appraisal §2 (approximately 420 feet of frontage "along Foster Street on the western boundary"; secondary access "from a 20-foot public alley along the eastern boundary"); Title Commitment legal description (eastern right-of-way margin of Foster Street, i.e. Foster Street lies to the west).

Analysis. The per-parcel acreage split differs by 0.20 acres between the environmental report and the title record (the totals agree at 3.47 acres, and the metes and bounds confirm the title figures). More importantly, the environmental report describes the site as fronting Foster Street to the north and locates the affected area in the "northeast corner" of Parcel …4102 bounded by Foster Street to the north — while the title descriptions and the appraisal place Foster Street on the western boundary. If the environmental delineation was oriented incorrectly, the identity of the building area sitting above the affected 0.38 acres is uncertain, which is precisely the overlay the Phase I ESA recommends (Recommendation 1) and which has not been performed. The Phase I ESA is also internally inconsistent about the shape of the excavated area: Figure 3 describes approximately 125 ft × 130 ft; the reconnaissance section describes approximately 100 ft × 165 ft.

Recommendation. Require the surveyor to depict the affected area, both easements and the building footprint on the ALTA/NSPS survey, and require the architect's overlay before closing or, at the latest, before the advance for the podium. Do not describe the affected area by metes and bounds in the Loan Agreement; refer to Figure 3 of the Phase I ESA as depicted on the survey (Draft Schedule 1.4 does this).

ISSUE 16 — Architectural review committee approval is assumed but not evidenced; the CC&R assessment is missing from NOI (Medium).

Source. Appraisal §2 and §9 (assumes "the architectural design has been reviewed and approved by the Brightleaf Historic District Association"); Title Commitment, Sch. B-II Ex. 11 and the title officer's note (no evidence of ARC submission or approval; the Association may seek injunctive relief, including to halt construction); Title Commitment Ex. 11(b) (assessment of $0.12 per square foot of gross building area per annum, adjustable); Title Commitment Ex. 11(d) (ARC submission at least 90 days before construction and approval, or deemed approval after 60 days, as a condition to any building permit); CM §10.1.14 (condition).

Analysis. The appraisal's assumption is contradicted by the title officer's note, and the 90-day/60-day timing in the CC&Rs may already be incompatible with a February 28, 2025 closing and a prompt construction start. Separately, the Association's assessment of $0.12 per square foot on 287,500 square feet is $34,500 per annum and is not included in the appraisal's operating expense

statement or in the Borrower's budget; adding it reduces NOI to $4,842,300, DSCR to 1.30x and as-stabilized value (at 6.40%) to approximately $75,660,000. The ratios still pass, but the omission should be corrected and the obligation should be a covenant, because an unpaid assessment is a lien risk.

Recommendation. Make ARC approval (or the expiration of the deemed-approval period) a closing condition (Draft §3.5(f)); add the assessment to the definition of Stabilized Net Operating Income (Draft §1.1) and to the operating covenants (Draft §6.6); confirm with the Borrower when the plans were submitted.

ISSUE 17 — Title mechanics before closing (Low, administrative).

Source. Title Commitment, Note 1 (commitment expires June 5, 2025); Note 6 (contact e-mail at the domain "crestviewtitle.com" rather than the Aldersgate domain); Sch. A ¶3 (an owner's policy to the Borrower of $8,900,000 is included).

Analysis. If closing slips past June 5, 2025 the commitment lapses and must be extended. The contact details do not match the issuer named on the commitment, which is a document-control item worth a telephone confirmation. The owner's policy is for the Borrower's benefit and its premium should not be assumed to be a Lender expense, although the $245,000 title line in the budget appears to cover both.

Recommendation. Confirm the issuer's authenticity and the correct contact; diarise the commitment expiration; confirm which policy premiums the Borrower is paying. Draft §3.5 and Schedule 9.1 address the endorsements required.

E. Environmental

ISSUE 18 — The NFA use restriction appears inconsistent with the residential programme, and the "14 units" figure is unsourced (High).

Source. Phase I ESA §7, Condition 2 and the quoted NFA language (the affected area "will be restricted to non-residential use … any change in land use to residential … would require additional investigation and/or remediation … and a modification to this NFA determination"); Phase I ESA §8.5 (the consultant did not verify whether residential units sit above the affected area and recommends an overlay — Recommendation 1); Appraisal §8 (notes the restriction, states that the plans "include residential units on the upper floors of the building positioned above this area", assumes compliance, and expressly "expresses no opinion as to the legal permissibility of the planned residential use"); CM §8.2 and §9.5 (asserts that "the current project plans position 14 residential units in the building above this area").

Analysis. The CM's statement that 14 units sit above the restricted area is not supported by anything in the record: the Phase I ESA declines to make the determination, the Appraisal describes residential above the area without a count, and 14 happens to be the number of three-bedroom units in the programme. The revenue impact the CM quantifies ($377,160) and the recalculated DSCR of 1.21x therefore rest on an unverified assumption. The issue is capable of resolution before closing, but if it is not resolved the consequence is a loss of certificates of

occupancy for part of the unit mix, an NOI reduction, a DSCR below the 1.25x covenant, and a possible overstatement of as-completed and as-stabilized value (the Appraisal expressly did not adjust for the restriction).

Recommendation. (a) Obtain the architect's overlay of the Phase II delineation on the floor plans before closing. (b) Require one of the three resolutions the CM identifies — an NCDEQ modification, a redesign, or NCDEQ written confirmation that residential use above the grade-level restricted area is permitted with engineering controls — as a closing condition or, at the Bank's election, as a condition to advances for work above the podium (Draft §3.6(d) and §6.4(b), (e)). (c) Prohibit residential occupancy in the affected area without NCDEQ's written modification and the Bank's consent (an Event of Default at Draft §10.11(a)–(b)). (d) Ask the appraiser to confirm whether any value was attributed to the affected units.

ISSUE 19 — The deed notice required by NFA Condition 4 appears not to have been recorded, and is absent from the title commitment (High).

Source. Phase I ESA §7, Condition 4 (deed notice to be recorded within 60 days of September 30, 2024, i.e. by November 29, 2024, describing the affected area, the contamination and the use restriction); Phase I ESA §8.1 and Recommendation 3 (no evidence of recording as at October 28, 2024); Appraisal §8 (states that the land use restriction "is memorialized in a Declaration of Land Use Restrictions recorded at the Durham County Register of Deeds"); Title Commitment (effective December 5, 2024) — no such instrument appears in Schedule B-II.

Analysis. There are only two possibilities and both require action. Either the notice was not recorded, in which case the NFA conditions are unmet and the Borrower is out of compliance with the regulatory determination on which the Bank's environmental position depends; or it was recorded and the Title Commitment omits it, in which case the title record contains an undisclosed use restriction and the Title Policy will not insure over or except to it correctly. The Appraisal's statement that the declaration was recorded cannot be reconciled with either the consultant's report or the title commitment and is itself unexplained.

Recommendation. Require a copy of the recorded instrument with the recording stamp, or written confirmation from NCDEQ that the deadline has been extended or satisfied, before closing; require the Title Company to search the declaration and either except to it (as a Permitted Exception in an approved form) or confirm it does not exist; and add a specific representation (Draft §5.8(ii)) and covenant (Draft §6.4(a)(iv)) and an Event of Default (Draft §10.11).

ISSUE 20 — The Term Sheet addresses only one of the four NFA conditions (Medium).

Source. Term Sheet §17 (requires installation and maintenance of the soil vapour mitigation system and compliance with "all conditions of the NFA letter", but names only the mitigation system); Phase I ESA §7, Conditions 1–4.

Analysis. The Term Sheet's narrative describes Condition 1 and Condition 2 but omits Condition 3 (the NCDEQ-approved soil management plan, required before

any subsurface disturbance in the affected area) and Condition 4 (the deed notice). It also omits the 90-day as-built and performance-verification submission to NCDEQ following completion of the foundation in the affected area. These are the conditions most likely to interrupt construction and they are not in the budget as separate line items (the mitigation system is included in the parking-structure line 2.08, but the soil management plan and NCDEQ submissions are not).

Recommendation. Draft §§3.6, 4.4(g), 6.4 and Schedule 1.4 incorporate all four conditions with corresponding closing conditions, advance conditions, covenants and default triggers. Confirm whether the soil management plan has been submitted to NCDEQ.

ISSUE 21 — The environmental record contains factual conflicts and thin protections (Medium).

Source. Phase I ESA §2.2 and §3.3 (a 2,000-gallon diesel tank, installed approximately 1972, decommissioned approximately 1998; no closure records found — a data gap); Appraisal §8 (a tank "originally installed in the 1950s … used for the storage of heating oil … not in active use since approximately 1988"); Phase I ESA §6.1 (approximately 1,200 cubic yards excavated); Appraisal §8 (approximately 320 cubic yards); CM §8.2 (approximately 340 cubic yards); Phase I ESA §11 (aggregate consultant liability limited to the approximately $12,500 fee); Phase I ESA §9 (AAI shelf life 180 days, expiring April 26, 2025); Phase I ESA opening page (the Lender's address is given as "200 South Tryon Street" rather than 215).

Analysis. The installation date, the fuel type and the decommissioning date of the tank differ between the consultant and the appraiser, and the volume of impacted soil excavated differs by a factor of nearly four. None of these conflicts changes the regulatory conclusion (the NFA letter governs), but they bear on the reliability of the data gap described at ESA §3.3 and on any pollution legal liability underwriting. The liability cap means the report offers no meaningful recourse if the delineation proves wrong. The 180-day AAI shelf life is comfortable for a February 28, 2025 closing but will lapse if closing is delayed beyond April 26, 2025.

Recommendation. Obtain the Phase II report and the remediation completion report; confirm the tank facts with the consultant; obtain an updated reliance letter running to the Bank and its successors, assigns and participants; record the AAI expiry in the closing checklist; and price a pollution legal liability policy (Phase I ESA Recommendation 6) for consideration by the Bank and the Borrower.

F. Construction, disbursement and the interest reserve

ISSUE 22 — The interest reserve is underfunded on the Bank's own rate assumption (High).

Source. Term Sheet §10 ($4,850,000); CM §6.2 (concludes the reserve is "tight … at the lower boundary of adequacy", estimates a $565,000 shortfall at 4.35% SOFR and $1,278,000 at +100 bps); Draw Schedule, Interest Reserve Analysis (concludes "APPEARS ADEQUATE" with a $221,325 surplus, on an assumed 3.50% SOFR).

Analysis. The two analyses reach opposite conclusions because they assume different SOFR levels, and the Draw Schedule's assumption (3.50% when the current rate is approximately 4.35%) is 85 basis points below current market. Applying a monthly model to the schedule's own draw pattern, the average outstanding balance is $27,429,167; total interest at an all-in 6.75% is $4,628,672 (reproducing the Draw Schedule exactly), at 7.60% it is $5,211,542 (a $361,542 shortfall), and at 8.60% it is $5,897,271 (a $1,047,271 shortfall). The CM's $565,000 figure uses a $28,500,000 average balance and overstates the shortfall by approximately $203,000, but its conclusion — that the reserve is inadequate at current rates — is right and the Draw Schedule's conclusion is wrong. The Draw Schedule's sensitivity table also does not tie to its own monthly model (its 4.35% row states $5,215,830 against $5,211,542 on a recalculation, a rounding artefact of about $4,300).

Two further points. The reserve is funded from loan proceeds, so an increase in the reserve increases the loan requirement (and the LTC breach) unless offset by equity. And the Term Sheet contemplates quarterly adequacy testing (§10) whereas the CM requires testing "at each draw request" (§6.2) — the stricter standard should govern.

Recommendation. (a) Size the reserve at a stressed rate: $5,500,000 to $5,900,000 covers 8.00% to 8.60% all-in. (b) If the reserve remains at $4,850,000, adopt the replenishment obligation (funding within five business days), the adequacy test at each advance, and the monthly reconciliation (Draft §§2.10(c)–(f), 4.2(g), 10.16). (c) Confirm which party bears the shortfall: the Carry Guaranty covers interest after the reserve is exhausted, but a guarantor is a backstop, not a source of construction-period liquidity.

ISSUE 23 — The draw schedule does not reconcile and misapplies the retainage (High).

Source. Term Sheet §9.1 (10% retainage on all hard cost disbursements) and §9.2 (draw table); CM §7.1 (table; reconciliation statement); Draw Schedule, Draw Schedule tab.

Analysis. Four defects. First, the draws labelled 2 to 8 are stated in gross hard cost amounts (15%, 20%, 20%, 15%, 10%, 10% and 10% of the guaranteed maximum price) and cumulatively total $34,750,000 — 100% of hard costs — despite the 10% retainage column; the net column shows the retainage being withheld, which is inconsistent with the gross draw amount funded. Second, the ninth draw of $3,275,000 is described as the retainage release, but 10% of $34,750,000 is $3,475,000 and $3,275,000 is 9.42%; the remaining undrawn commitment of $3,275,000 cannot fund a $3,475,000 release, and the final draw's own components (retainage $3,475,000 + developer fee $200,000 + contingency $600,000) total $4,275,000 against a stated $3,275,000. Third, the schedule's column components total $48,500,000 against a $47,500,000 commitment — an over-allocation of exactly $1,000,000, which corresponds to the developer fee that the Detailed Budget allocates to the mezzanine loan. Fourth, the developer fee and contingency are allocated across the draw rows in the amounts of $923,750 and $918,750 respectively, rather than the $2,835,000 and $1,440,000 in the uses of

funds, so most of the fee and the whole of the contingency have no funding source in the schedule. In substance, the schedule advances $38,225,000 to hard costs against a $34,750,000 guaranteed maximum price.

Recommendation. Replace the schedule with a reconciled version on a net-of-retainage basis; this is done at Draft Schedule 1.2, which preserves the milestone percentages and gross amounts from the Borrower's schedule but (a) advances 90% of each milestone ($31,275,000 in aggregate), (b) releases $3,475,000 of retainage as the final advance on the Draw 9 conditions, (c) funds the developer fee ($1,835,000) and contingency ($1,440,000) as separately controlled budget lines, and (d) reconciles to the commitment net of the $2,140,000 Equity Deposit ($45,360,000). The Borrower should confirm the revised amounts.

ISSUE 24 — Construction maturity precedes completion, and the final advance falls after maturity (Medium).

Source. Term Sheet §3.2 (construction maturity August 28, 2027); Term Sheet §2 and Appraisal §3 (projected substantial completion August 31, 2027); Draw Schedule (draw 8 at substantial completion in August 2027; draw 9 in October 2027); CM §9.6 (identifies the three-day gap).

Analysis. The construction maturity date is three days before projected substantial completion, so any slippage triggers a maturity default before the Borrower has received the final draw. The final draw is scheduled for October 2027 — after maturity, in the mini-perm period. In addition, the Term Sheet defines the periods as running "from the date of closing" but then fixes the maturity dates as though closing occurs on February 28, 2025; if closing slips, the Borrower loses construction time.

Recommendation. Define the construction maturity date as 30 months after the actual closing date, subject to an outside date; align the Completion Guaranty date and the extension mechanics to the same definition; and expressly permit the final advance during the mini-perm period subject to the Draw 9 conditions and no default. Draft §§2.13, 4.4, 6.1 and Schedule 1.2 note 2 do so.

ISSUE 25 — Contingency, "single advance" language and unbudgeted carrying costs (Medium).

Source. CM §5.2 (contingency of $1,440,000 "approximately 4.1% of hard construction costs"); Draw Schedule lines 6.01 and 6.02 (hard cost contingency $1,140,000; soft cost contingency $300,000); Term Sheet §3.1 ("structured as a single advance facility"); Term Sheet §3.4 (unused line fee, exit fee) and §19 (insurance); Title Commitment Exs. 7 and 11(b) (2024 taxes of $49,065.56; CC&R assessments).

Analysis. The hard-cost contingency is 3.28%, not 4.14%; the 4.14% figure includes soft-cost contingency. For a 30-month, Type III-A wood-frame-over-podium project, 3.28% on top of a guaranteed maximum price is thin, and the completion guaranty is the real cushion. The "single advance facility" description contradicts the milestone draw mechanics and should be removed. Finally, several recurring costs have no budget line and must be funded by the Borrower: the unused line fee at

0.25% per annum on the undrawn balance (approximately $187,500 over the term at a $30,000,000 average undrawn balance), the exit fee if the Loan is repaid during construction ($237,500), the extension fee (0.25% of the then outstanding balance, approximately $118,750 at the current size), construction-period real property taxes (2024 combined: $49,065.56, rising as improvements are assessed), the CC&R assessment (approximately $34,500 per annum) and audit fees under the reporting covenant.

Recommendation. Correct the contingency description; delete "single advance facility" (Draft §2.1(c)); and confirm the Borrower has budgeted the carrying costs outside the Approved Budget, or add a carrying-cost reserve. The Carry Guaranty is the backstop but, again, a guaranty is not liquidity.

G. Financial covenants and reporting

ISSUE 26 — The Borrower net worth covenant is unachievable as drafted (High).

Source. Term Sheet §6.4 (minimum net worth $12,000,000; current net worth "approximately $14,200,000, based on financial statements provided to the Lender"); CM §2.1 (the same figure, said to provide "a cushion of approximately $2,200,000 above the covenant minimum"); Org Chart §1.1 ("current net worth of the Borrower entity is approximately $14,200,000 based on the book value of its assets and liabilities"); Title Commitment Sch. A ¶5 (the Borrower's principal asset is the land, subject to the Triangle Commercial Bank deed of trust).

Analysis. Two problems. First, the $14,200,000 figure is not supported by any balance sheet in the record: an entity whose only asset is land acquired for $8,200,000 and encumbered by a $3,400,000 deed of trust cannot have $14,200,000 of book net worth unless the land is carried far above cost. Second, and independently, the covenant fails on the first test date. Immediately after closing the Borrower's assets are the land at $8,200,000 plus construction in progress funded by the advancing loan, and its liabilities are the loan and the mezzanine loan; at full draw both sides of the balance sheet are $56,700,000 and book equity is nil, rising to approximately $2,140,000 only because of the Equity Deposit. A $12,000,000 covenant therefore cannot be met at any time during construction on a book basis.

Recommendation. The Bank must choose: (a) retain the covenant but define Net Worth on a fair-value basis (including the Property at its most recent Appraised Value), as drafted in Draft §1.1; (b) reset the threshold to an achievable level (for example $2,000,000 plus cumulative equity contributions); or (c) replace the covenant with a sponsor-support and equity-funding covenant tested at each advance. Draft §8.4 is bracketed accordingly. The Borrower's actual financial statements must be obtained and reviewed before any of these is settled.

ISSUE 27 — DSCR test mechanics are not workable at the first test date (Medium).

Source. Term Sheet §6.3 (minimum 1.25x, tested "at the commencement of the Mini-Perm Period and annually thereafter based on actual trailing twelve-month

net operating income"); CM §11(c) (extension test at 1.15x on trailing three-month annualised NOI).

Analysis. At the commencement of the mini-perm period the Project will have just reached substantial completion and will have no twelve-month operating history, so the stated test cannot be performed on its own terms. The Term Sheet also does not define NOI, whether replacement reserves and the CC&R assessment are deducted, or how interest is computed for the test (contract rate versus stressed rate).

Recommendation. Adopt a two-stage test: a projected test at the commencement of the mini-perm period using the Appraisal's concluded stabilized NOI, and a trailing test once twelve months of history exist (with a trailing three-month annualised test in the interim), together with a defined NOI (Draft §1.1 deducts a $250 per unit replacement reserve and the CC&R assessment) and the cure mechanics in Draft §8.3(b).

ISSUE 28 — Minor Term Sheet internal inconsistencies to correct in the closing checklist (Low).

Source and analysis. (a) Term Sheet §5.1 records "Borrower Equity (land previously acquired; see Uses below) $0" while §5.2 records the $8,200,000 land cost as a use — a self-contradiction that is the arithmetic root of Issue 3. (b) Term Sheet §11 requires "payment of the origination fee in the amount of $475,000" as a condition precedent to the initial advance while §3.4 permits the fee to be funded from loan proceeds — a circular condition. (c) Term Sheet §22 calls the $75,000 expense deposit "non-refundable" but then provides for the return of any unused portion; and the record contains no evidence that the deposit was paid. (d) Term Sheet §15 contains no cure period for a breach of the single-purpose entity covenant even though the same section provides cure periods for lesser breaches.

Recommendation. Correct (a) and (b) in the documentation (Draft §§2.2, 2.9(a), 3.11 and Schedule 1.1 handle the funding point); confirm receipt of the $75,000 deposit; and consider whether the SPE covenant should carry a short cure period (Draft §10.10 deliberately does not).

H. Documentation and file integrity

ISSUE 29 — The approval record is incomplete (Medium).

Source. CM cover page ("Reviewed By: _____, Senior Credit Officer") and §14.2 (all three signature blocks blank); Term Sheet §4 ("reviewed by the Lender's internal appraisal review department") — no review memorandum in the record.

Analysis. The loan is recommended for approval but not evidenced as approved, and the appraisal review on which the FIRREA compliance statement depends is not in the file. Both should be in place before closing; the appraisal review is also a supervisory expectation for a $47,500,000 commercial real estate transaction.

Recommendation. Obtain the executed approval and the appraisal review memorandum, and add the review memorandum to the closing deliverables (Draft §3.4(a)).

ISSUE 30 — Small cross-document discrepancies (Low).

Source and analysis. (a) The Phase I ESA addresses the Lender at "200 South Tryon Street" while every other document says 215 South Tryon Street — the reliance letter should be re-issued with the correct addressee. (b) The Appraisal (RAS-2024-1147) and the Phase I ESA (SEC-2024-1147) carry the same numeric suffix, which suggests a document-control or template error in one of them and is worth a confirmation call. (c) The Appraisal cites FEMA panel 3710406400J effective May 2, 2019 (Zone X) while the Phase I ESA cites panel 3720098700J effective March 2, 2009 (Zone X); the conclusions agree but a current flood determination should be obtained for the file. (d) CM §4.3 describes North Carolina as "a judicial foreclosure state"; North Carolina forecloses by trustee's power of sale in a special proceeding before the Clerk of Superior Court (N.C.G.S. § 45-21.16 et seq.), with the fair-value determination under N.C.G.S. § 45-21.36 applying to any deficiency. The characterisation should be corrected in the file and confirmed with North Carolina counsel. (e) The Appraisal states that the weighted average of its projected unit rents is $2,245 per month; the weighted average of the rents it actually projects ($2,175 / $2,550 / $3,050) is $2,331.84. The $2,245 figure is the effective rent after concessions and should be labelled as such.

Recommendation. Correct each in the next iteration of the underlying documents; the Draft's definitions avoid the conflation (Draft §1.1 "Stabilized Net Operating Income").

7. How the Draft Loan Agreement addresses each issue

7.1 The Draft resolves within the Lender's control what can be resolved that way, makes the rest conditions or covenants, and brackets the genuine business decisions. The mapping is:

Issue	Mechanism in the Draft	Status
1–2	§2.1(b) borrowing base (80% of Total Project Costs) and §8.1–8.2 covenants to the Term Sheet's 80%/65%; §4.8 Equity Deposit	Drafted; base definition bracketed
3–5	§§2.2, 4.16, 7.4 (no reimbursement or distribution); §3.3(b) certified flow of funds; §4.8(b) equity allocated to hard/soft costs; §4.7(e) developer fee deferral; Schedule 1.1	Drafted; source tracing to be delivered
6 (pledge)	§§9.6 (Article 8 election, control, remedies), 13.2 (intercreditor terms), 3.2 (member consents)	Drafted; intercreditor not yet available
7	§§7.10, 13.3 (mezzanine payment and amendment limits)	Drafted; PIK mechanic to be confirmed
8–9	§6.9 single-purpose entity covenants (a)–(n); §3.2 operating agreement amendments; §13.4 carve-out from the 75% vote; §3.10 non-consolidation opinion	Drafted
10–12	§9.7(c) aggregate $11,875,000 cap; §8.5 guarantor liquidity; §8.6 guarantor net worth (thresholds bracketed)	Drafted; thresholds to be confirmed
13–17	§3.5 (title, payoff, survey, zoning, ARC), §3.13 (lien waivers), §9.1 and Schedule 1.3 (permitted exceptions), §6.6 (CC&R assessments)	Drafted

Issue	Mechanism in the Draft	Status
18–21	§3.6 and §6.4 (all four NFA conditions), §5.8 covenants and representation, §4.4(g), Schedule 1.4, §10.11 Events of Default	Drafted; NCDEQ/overlay items outstanding
22	§2.10 (reserve, adequacy test at each advance, replenishment), §4.2(g), §10.16	Drafted; reserve amount bracketed
23	Schedule 1.2 restated on a net-of-retainage basis and reconciled to the commitment; §4.3 retainage; §4.4 final advance conditions	Drafted; Borrower to confirm
24–25	§2.13 (dates from actual closing), §4.4 and Schedule 1.2 note 2 (post-maturity final advance), §2.1(c) (delete “single advance”), §2.9(c) (unused fee)	Drafted
26	§8.4 bracketed with a note identifying the conflict and three alternatives	**Business decision required**
27–30	§8.3 (two-stage DSCR test), §1.1 (NOI definition), §3.4(a) (appraisal review), Schedule 6.8 (reporting)	Drafted

7.2 **Bracketed items requiring a business decision before execution.** (a) The definition of Total Project Costs for LTC purposes (Draft §8.1); (b) whether the 65% or 70% LTV ceiling governs (Draft §8.2); (c) the Developer Fee payment timing and payee (Draft §4.7(e)); (d) the guarantor net worth thresholds (Draft §8.6); (e) the Borrower net worth definition and threshold (Draft §8.4); (f) the interest reserve amount, which the Draft carries at the Term Sheet’s $4,850,000 subject to the adequacy analysis at Issue 22 (Draft §2.10); (g) the identity of the trustee under the deed of trust and of the Construction Consultant, which the Draft leaves to be designated (Draft §§1.1, 4.11); (h) Reginald K. Osei’s notice address (Draft §15.1); (i) the closing date (Draft cover and §2.13); and (j) the enforcement of the completion guaranty against a guarantor resident in North Carolina (see Section 9).

8. Diligence gaps — documents required before closing

Document	Why it is needed	Issue
Borrower’s financial statements (and management accounts)	To test the $14,200,000 net worth claim and the $12,000,000 covenant	26
Personal financial statements of both Guarantors, with supporting schedules	To verify $41,300,000 net worth and $9,300,000 liquidity, and the real estate values behind them	12
Payoff letter and, if applicable, assumption documents for the Triangle Commercial Bank deed of trust	To quantify a $3,400,000 potential use of funds with no budget line	13
Evidence of the recorded NFA deed notice (or NCDEQ confirmation)	To establish compliance with NFA Condition 4 and to correct the title record	19
NCDEQ letter and remediation completion report (Phase II, Sentinel SEC-2024-1089)	To verify the four conditions and the residual contamination description	20–21
Soil management plan; NCDEQ approval of it	Condition to any subsurface work in the affected area	20

Document	Why it is needed	Issue
Architectural overlay of the Phase II delineation on the floor plans	To resolve the residential use restriction	18
ALTA/NSPS survey (with Table A items, depicting the affected area and easements)	Title requirements 5 and the standard exception deletions; the affected-area geometry	15, 17
Zoning compliance letter (City of Durham)	Term Sheet §11 and CM §10.1.13; confirms the unit count, height, parking and FAR	16
ARC approval or evidence of deemed approval	CC&R Article V; a stop-construction injunction right otherwise	16
Operating agreement (full), as amended for SPE covenants, independent manager and Article 8	The excerpts provided are insufficient to confirm the governance changes	8, 9, 6
Non-consolidation opinion	CM §10.1.4 and the Draft §3.10 condition	9
Intercreditor agreement (draft or executed)	The Bank’s first-priority pledge and standstill protections depend on it	6, 7
Mezzanine loan documents	To confirm the PIK mechanic, maturity and permitted payments	7
Construction contract (GMP), architect’s agreement, contractor’s financial statements and bonding capacity	CM §10.1.8; Term Sheet §11; Draft §3.7	25
Appraisal review memorandum	FIRREA compliance and CM §3.3 reliance	29
Sources-of-funds tracing for the original land purchase	The equity analysis and HVCRE classification turn on it	3, 4
Final lien waivers from the demolition and remediation contractors	Mechanics’ lien relation-back exposure	14
Evidence of payment of the $75,000 expense deposit	Term Sheet §§22–23	28
Article 8 opt-in, certificates and member consents for the pledged interests	Control and foreclosure mechanics over the membership interests	6

9. Additional observations for counsel

9.1 **North Carolina foreclosure and guaranty enforcement.** The CM’s reference to North Carolina as a “judicial foreclosure state” should be corrected: foreclosures proceed by trustee’s power of sale under Article 2C of Chapter 45 following a clerk’s order under N.C.G.S. § 45-21.16, and a deficiency is determined with the benefit of the fair-value analysis in N.C.G.S. § 45-21.36. The Draft preserves each Guarantor’s inability to waive non-waivable protections (Draft §§11.2, 11.10) while confirming that the guaranty obligations are independent (Draft §9.9). We should confirm with North Carolina counsel before the guaranty forms are finalised.

9.2 **Default rate and Chapter 24.** The Default Rate could reach approximately SOFR + 8.50% per annum. The Draft includes a standard usury savings clause (Draft §2.16); North Carolina counsel should confirm the applicable maximum for a loan of this size and type before the Note is issued.

9.3 **Interest reserve and the Carry Guaranty overlap.** The Carry Guaranty and the interest reserve cover the same cost at different times. The documentation should make clear that the guarantors are not released by the existence of the reserve, that the reserve is not a cap on the guaranty, and that replenishment obligations run to the Borrower first and the guarantors second (Draft §§2.10(d), 9.7(b)).

9.4 **Wet vs dry closing.** Nothing in the record addresses whether the Bank will fund at a table-funding closing or on a disbursement basis with a pass-through of the Triangle Commercial Bank payoff. If the title company will hold funds, the closing instructions should reflect the equity-first requirement (Draft §4.8) so that the Equity Deposit is applied before any loan proceeds are released.

9.5 **Assignment and participation.** If the Bank intends to participate or syndicate the loan, the reliance letters, the non-consolidation opinion and the environmental report should be addressed to successors, assigns and participants, and the participation provisions should be agreed now rather than at the point of sale (Draft §§3.4(b), 3.10, 14.1, 14.5).

10. Recommended next steps and timing

10.1 **This week.** (a) Credit to confirm the six business decisions in Section 7.2; (b) Borrower to deliver the diligence items in Section 8 that are within its control, prioritising the Triangle Commercial Bank payoff letter, the recorded deed notice, the architectural overlay and the amended operating agreement; (c) request the intercreditor draft from the mezzanine lender’s counsel.

10.2 **Within two weeks.** (a) Conform the Term Sheet’s self-contradictions (Issues 1, 2, 3 and 28) in a side letter or an amended term sheet so that the executed record matches the approved credit; (b) settle the draw schedule with the Borrower and the Construction Consultant (Issue 23); (c) settle the interest reserve amount (Issue 22); (d) obtain the survey and the zoning compliance letter.

10.3 **Before closing.** All items in Section 8, plus the executed approval and appraisal review memorandum; the Title Policy (or marked-up commitment) with the endorsements in Draft Schedule 9.1; and confirmation that the Phase I ESA remains within its 180-day AAI shelf life (it expires April 26, 2025, which is compatible with a February 28, 2025 closing but not with a material delay).

10.4 **Critical path.** The three items most likely to move the February 28, 2025 closing date are the Triangle Commercial Bank payoff (which requires a third party to act and a source of funds the budget does not presently contain), the environmental overlay and any NCDEQ modification (which requires a third-party agency), and the operating agreement amendment and member consents (which require the cooperation of Brightleaf Investors Group LLC, whose affiliate is the mezzanine lender). We recommend the Bank set an internal decision date of

February 14, 2025 for these three items, failing which the closing date should be re-set rather than waived.

11. Conclusion

11.1 The Draft delivers a complete, lender-oriented loan agreement that implements the executed Term Sheet and the Credit Memorandum’s conditions of approval, with the mechanics repaired where the source record is defective. It does not cure the underlying commercial issues: the transaction as sized has no borrower equity that is not either debt-funded or returned to the sponsor, the loan amount breaches two covenants in the Bank’s own executed term sheet, and three closing conditions depend on third parties who have not yet performed. Those are decisions for the Senior Loan Committee, and we have framed them for decision rather than resolved them in the drafting.

11.2 We would be glad to discuss any of the above. Please let us know which of the bracketed items in Section 7.2 the Bank wishes to resolve in Draft No. 2, and we will turn the draft within two business days of receiving the intercreditor agreement and the Borrower’s revised sources and uses.